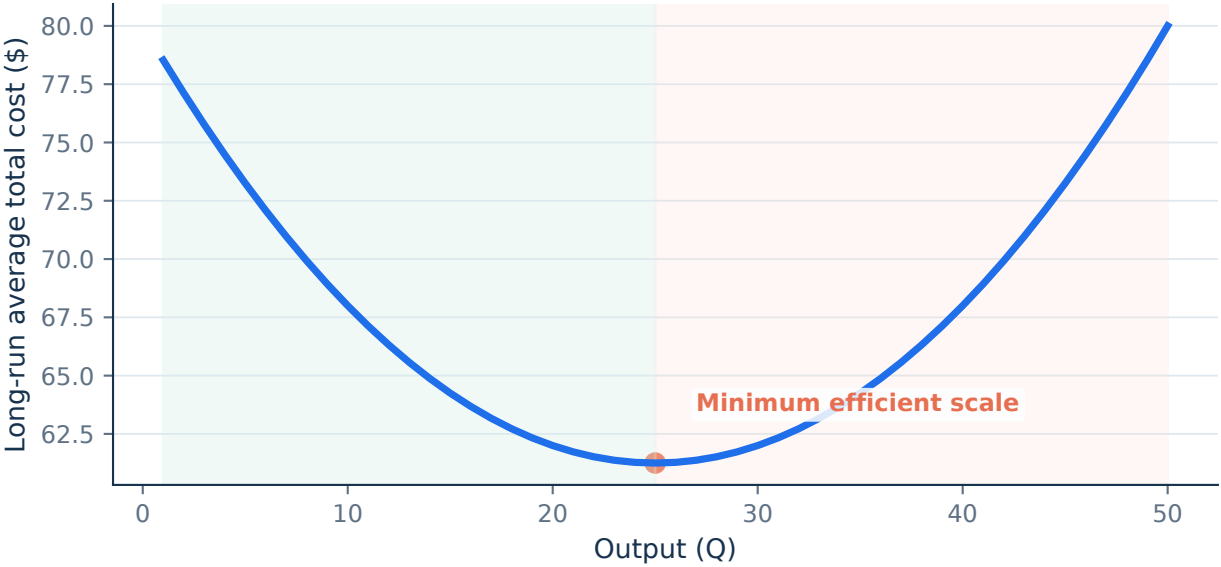
Long-run average total cost

Scale economies lower average cost until the efficient scale, after which diseconomies appear.



Source: APMICRO illustrative data / lratc.csv. | Synthetic long-run cost curve.